

 Masterclass Day 26

Mastering Derivatives

The advanced arena: Futures, Options, Leverage, Margins, and Professional Hedging.

The Binding Agreement: **Futures Contracts**

A **Futures Contract** is a legally binding agreement to buy or sell an asset at a predetermined price on a specific future date.

- » **Standardization:** Traded on recognized exchanges with fixed quantities and expiration dates.
- » **No Ownership Yet:** Unlike equity investing, you do not own the underlying company; you own a contract tracking its future price.
- » **High Leverage:** Controlled via a fraction of the total contract value using margin deposits.



The Power of Choice: Options Contracts



Right Without Obligation

An Option gives the buyer the **right, but not the obligation**, to buy (Call) or sell (Put) an underlying asset at a set strike price.

- » **Asymmetric Risk:** Buyers risk only the premium paid, while profit potential can be massive.
- » **Call vs. Put:** Calls bet on rising prices; Puts bet on falling markets or provide portfolio downside insurance.

The Minimum Unit:

Lot Size

In the derivatives market, you cannot buy just 1 single share of a stock like Reliance or TCS. You must trade in fixed batches called **Lot Sizes**.

Exchange Defined: The stock exchange determines how many shares make up one lot (e.g., 25, 50, or 250 shares depending on the stock).

Multiplier Effect: If a lot size is 50 shares and the stock moves by ₹10, your total profit or loss multiplies instantly by 50!

LOT SIZES

	Lot Sizes	Units	Volume	\$ per pip
	Standard	100000	1	\$ 10
	Mini	10000	0.1	\$ 1
	Micro	1000	0.01	10 cents
	Nano	100	0.001	1 cents

The Collateral Deposit: **Margin & Leverage**

Initial Margin

To enter a derivatives contract, you do not pay the full value. You deposit a fraction called the **Initial Margin** (typically 10-20%).

This provides powerful leverage, but it also means losses can exceed your initial capital if the market moves aggressively against you.

Mark-to-Market (MTM)

Derivatives accounts are settled at the end of every single trading day.

If your trade loses money today, cash is immediately debited from your account. If your balance drops below the maintenance requirement, you face a **Margin Call**.

The Ultimate Insurance: Hedging

Originally invented for farmers to protect against fluctuating crop prices, **Hedging** is the art of using derivatives as financial insurance.

- » **Risk Mitigation:** If you hold a large portfolio of stocks and fear a market crash, buying Index Put options can protect your wealth.
- » **Institutional Strategy:** Global funds hedge currency risk, interest rate risk, and commodity price swings daily.
- » **Trading vs. Speculation:** Hedging separates professional risk managers from reckless gamblers.



Great Job on Day 26!

Tomorrow: Day 27 - Commodity & Currency Market.

Stay disciplined, master your risk, and trade wisely!

 / @EarnJoyOfficial